EXECUTIVE SUMMARY

A. Introduction:

The Municipality of Solana was founded on August 18, 1952 and named after then Governor Antonio Urbiztondo Marquez dela Solana. It is a first class municipality covering an area of 277.22 square kilometers with 38 barangays and with about 61,800 inhabitants. The Municipality is surrounded by the following: on the east by the magical Cagayan River, bounded on the north by the Municipality of Amulung, on the south by the Municipality of Enrile, on the southwest by the Province of Kalinga and on the northwest by the Municipalities of Piat and Tuao.

Financial, compliance, and value for money were conducted on the accounts and operations of the LGU Solana, Cagayan for the calendar year 2015. The audit objectives were to ascertain the propriety of the disbursements, the reliability of the financial reports, the adequacy of accounting records, compliance with laws, rules, and regulations as well as adherence to prescribed policies and procedures. Likewise, the audit was conducted to determine whether plans, programs, activities and projects for the year were attained at an efficient, economic and effective manner.

B. Highlights of Financial Information:

The financial condition and results of operations of LGU-Solana, Cagayan for CY 2015 with comparative figures for CY 2014 are as follows:

		2015		2014		Increase/(Decrease)
Assets	P	267,664,120.57	P	208,450,980.92	P	59,213,139.65
Liabilities		124,081,332.90		109,272,976.57		14,808,356.33
Government Equity		143,582,787.67		99,178,004.35		44,404,783.32
Income		160,843,647.38		141,203,192.33		19,640,455.05
Expense		118,309,196.06		110,192,766.41		8,116,429.65
Appropriation		160,314,507.43		155,070,109.32		5,244,398.11
Obligation		148,095,604.30		140,368,792.93		7,726,811.38

The funds received by the LGU and transferred to other agencies and non-government and people's organizations for CY 2015 with comparative figures for CY 2014 are shown below:

		2015		2014		Increase/(Decrease)
Funds Received from Other Agencies:						
NGAs	P	13,197,885.00	P	14,641,572.42	P	(1,443,687.42)
LGUs		1,000,000.00		1,000,000.00		0.00
NGOs/POs		0.00		0.00		0.00
Others		0.00		0.00		0.00
Total	**P**	**14,197,885.00**	**P**	**15,641,572.42**	**P**	**(1,443,687.42)**

		2015		2014		Increase/Decrease
Funds Transferred to Other Agencies:						
NGAs	P	0.00	P	0.00	P	0.00
LGUs		4,140,000.00		3,390,000.00		750,000.00
NGOs/POs		0.00		668,905.20		(668,905.20)
Others		0.00		0.00		0.00
Total	**P**	**4,140,000.00**	**P**	**4,058,905.20**	**P**	**81,094.80**

C. Independent Auditor's Report on the Financial Statements:

The Auditor rendered a **qualified opinion** on the fairness of the presentation of financial statements of the LGU Solana, Cagayan as of December 31, 2015 due to the following:

(a) the non-submission of the Report on the Physical Count of Property, Plant and Equipment, thus, Property, Plant and Equipment accounts, excluding Construction in Progress accounts, with a net book value of P141,441,796.84 are doubtful;

(b) absence of an updated Certified List of Taxpayers rendering the Real Property Tax and Special Education Tax Receivables totaling P61,886,450.13 unreliable; and

(c) non-settlement of cash advances totaling P1,242,027.39 as of year-end affected the reliability of the related assets, expenses and government equity accounts.

C. Summary of Significant Findings and Recommendations:

1. **The validity of the payment for the supply and delivery of 40 units of motorcycles with sidecars in the amount of P3,160,000.00 cannot be ascertained due to the non-submission of complete documentary requirements.**

   We recommended that management ensure that all payments to be made for the procurement of goods be supported with complete documentary requirements prescribed under Section 9.1 of COA Circular No. 2012-001 Further, we recommend that the lacking documents be submitted immediately to the Audit Team to facilitate the review of the procurement project.

2. **Some of the planned programs and projects to be funded out of the 20% Local Development Fund were not implemented or fully implemented as of December 31, 2015, hence, socio-economic benefits and services due the Municipality's constituents were delayed.**

   We recommended for management to fast tract the implementation of the unfinished or unimplemented programs and projects of the LGU and ensure that future projects to be included in the Annual Investment Plan are implemented as scheduled.

3. **The Net Financial Contracting Capacity (NFCC) of the bidder for the supply and delivery of 40 units of motorcycle with sidecar was not sufficient by P1,389,842,870.00,, thereby resulting in the incurrence of irregular expenditures.**

   We recommended that the Bids and Awards Committee exercise prudence in the examination of bidding documents submitted by bidders to ensure that they are eligible to participate in the bidding and be awarded the contract for the municipality's various procurement projects in faithful adherence to pertinent provisions of the procurement law.

4. **The payment of honoraria amounting to P64,000.00 and 106,500.00 to the Bids and Awards Committee Members, Secretariat and Technical Working Group were sourced out from the savings of a capital outlay project and the LDRRMF, respectively, instead of from the funding sources as authorized under DBM Circular 2007-3, hence, the incurrence of irregular expenditures.**

   We recommended that management ensure that the payment of BAC honoraria be charged against the funding sources as authorized under DBM Circular No. 2007-3 to avoid disallowances in audit.

D. Summary of Total Suspensions, Disallowances, and Charges:

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions:					
Prior Years	0.00	0.00	0.00	0.00	0.00%
Current Year	0.00	17,378,943.64	0.00	17,378,943.64	0.00%
Total	**0.00**	**17,378,943.64**	**0.00**	**17,378,943.64**	**0.00%**
Disallowances:					
Prior Years	494,836.02	0.00	36,600.00	458,236.02	7.40%
Current Year		0.00	0.00	0.00	0.00%
Total	**494,836.02**	**0.00**	**36,600.00**	**458,236.02**	**7.40%**
Charges:					
Prior Years	0.00	0.00	0.00	0.00	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	**0.00**	**0.00**	**0.00**	**0.00**	**0.00%**

E. Status of Implementation of Prior Years' Unimplemented Audit Recommendations:

Of the 25 prior year's audit recommendations, embodied in the 2014 Annual Audit Report, 11 were fully implemented, 8 were partially implemented and 6 were not implemented.